

SECTION 7: INTERNATIONAL TRADE

7.1 GAINS FROM FREE TRADE

Multiple Choice Questions

1990/CE/II/42

A country gains from trade because

- A. it obtains goods at a lower opportunity cost.
- B. it collects tariff revenue.
- C. it exports more than it imports.
- D. it specializes in producing goods in which it enjoys an absolute advantage.

1990/CE/II/48

The table below shows the production of two goods in two countries:

One unit of resources can produce			
	Clothes (units)		Toys (units)
Country X	10	OR	5
Country Y	2	OR	1

Suppose there are no barriers to trade between the two countries,

- A. X will export clothes and toys to Y.
- B. X will export clothes and import toys from Y.
- C. Y will export toys and import clothes from X.
- D. neither country will benefit from their mutual trade.

1991/CE/II/53

The following table shows the number of man-hours required for the production of two goods X and Y in Countries A and B.

	Country A	Country B
1 unit of X	1 man-hour	2 man-hours
1 unit of Y	3 man-hours	4 man-hours

According to the principle of comparative advantage,

- A. Country A will export X and import Y.
- B. Country A will export Y and import X.
- C. Country A will import X and Y from Country B.
- D. Country A will export X and Y to Country B.

1992/CE/II/51

Refer to the following table:

	Toys (units)		Machinery(units)
HK's output per man-hour	30	OR	20
U.S.A.'s output per man-hour	50	OR	40

- (1) The U.S.A. has an absolute advantage in producing both goods.
 - (2) The U.S.A. has an absolute advantage in producing machinery only.
 - (3) Hong Kong has a comparative advantage in producing toys.
 - (4) Hong Kong has a comparative advantage in producing machinery.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

1992/CE/II/53

International trade is beneficial to a country if

- A. that country exports more than it imports.
- B. that country imports more than it exports.
- C. it allows a more efficient use of resources.
- D. it enables the government to collect tariff revenue.

1993/CE/II/52

Country	Output per unit of resources		Cotton (units)
	<u>Wheat(units)</u>		
X	2	OR	4
Y	1	OR	3

According to the above table, country X has a _____ opportunity cost in producing wheat and country Y has a comparative advantage in producing _____. Therefore, country Y will import _____ from country X.

- A. lower cotton wheat
- B. lower wheat cotton
- C. higher wheat wheat
- D. higher cotton cotton

1994/CE/II/52

Suppose a country has an absolute advantage in good X. Which of the following is correct?

- A. It is possible that the country has a higher opportunity cost of producing good X than another country.
- B. The country can produce a greater amount of good X than another good with the same amount of resources.
- C. The country will also have a comparative advantage in good X.
- D. The country will have an absolute disadvantage in another good.

1994/CE/II/53

The following table shows the production of two goods in two countries:

	One unit of resources can produce	
	<u>Clocks</u>	<u>Toys</u>
Country A	2	OR 4
Country B	6	OR 8

Suppose 1 unit of clocks can be exchanged for 2 units of toys through trade,

- A. Both A and B will gain from trade.
- B. Both A and B will not gain from trade.
- C. A will not gain from trade.
- D. B will not gain from trade.

1995/CE/II/51

If a country has a comparative advantage in good X, it will

- A. have an absolute advantage in X.
- B. have a comparative disadvantage in some other good(s).
- C. specialize in producing X and export all its output of X to other countries.
- D. completely specialize in the production of X.

1995/CE/II/52

Suppose in Country A one unit of resources can produce either 1 unit of X or 3 unit of Y. If from trade 1 unit of X can exchange for 2 units of Y, Country A will export _____ and gain _____ for each unit of export.

- A. X 1 unit of Y
- B. X 1/6 units of Y
- C. Y 1 unit of X
- D. Y 1/6 units of X

1996/CE/II/46

Given a unit of input, the amount of output produced by Countries A and B are shown below:

	Garment (units)	Shoes (units)
Country A	2	OR 6
Country B	4	OR 8

Which of the following is/are true?

- (1) The opportunity cost of producing shoes in Country B is lower than that of Country A.
- (2) Country B enjoys absolute advantage in the production of both goods.
- (3) If trading opportunities were opened up, Country B would export garment and import shoes.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

1996/CE/II/47

A country will gain from international trade if

- A. it specializes in producing goods in which it enjoys comparative advantage.
- B. the price of its exports is higher than that of its imports.
- C. the quantity of its exports is greater than the quantity of its imports.
- D. the price of its imports is less than the unit cost of producing these goods itself.

1996/CE/II/53

Which of the following economic principles can best explain why a doctor, who is the fastest typist in town, chooses to employ a typist to do all the typing for him?

- A. economies of scale
- B. comparative advantage
- C. diversification of work
- D. law of diminishing returns

1997/CE/II/53

Suppose the production of cars and shirts in Mainland China and in the U.S.A. is as follows:

	One unit of resources can produce	
	Car (units)	Shirts (units)
Mainland China	1	OR 4
U.S.A	2	OR 3

Suppose Hong Kong is willing to exchange 45 units of shirts for 9 units of cars. Under free trade, in order to obtain the maximum gain per unit of export/import,

- A. Mainland China would export shirts to Hong Kong.
- B. The U.S.A. would export cars to Hong Kong.
- C. Hong Kong would import shirts from the U.S.A.
- D. Mainland China would import shirts from the U.S.A.

Question 43 and 44 refer to the table below. Suppose there are only two countries, Country A and Country B. The output of bananas and shoes per unit of input of the two countries are as follows:

	Bananas (Units)	Shoes (Units)
Country A	4	OR 12
Country B	2	OR 4

1998/CE/II/43

Which of the following statements is correct?

- A. Country A has both an absolute and comparative advantage in the production of bananas.
- B. Country A will export shoes.
- C. Country B will import bananas.
- D. Both countries will gain if 1 unit of bananas is exchanged for 4 units of shoes.

1998/CE/II/44

There are 4 units of resources in each country. Before trade, both countries use 1 unit of input to produce bananas and 3 units to produce shoes. If complete specialization takes place in the two countries, what will be the change in the total output of bananas and shoes of the two countries?

- A. Only the production of bananas will increase.
- B. Only the production of shoes will increase.
- C. The production of bananas will increase but the production of shoes will decrease.
- D. The production of both bananas and shoes will increase.

1998/CE/II/45

If Country X can produce the same amount of each good with less resources than Country Y, then

- A. there is no favourable terms of trade between Country X and Country Y.
- B. Country Y may still produce some goods at a lower opportunity Costs.
- C. trade can still take place based on absolute advantage.
- D. Country X possesses comparative advantage on all goods.

1999/CE/II/46

If a country specializes and exports good X, it implies that

- A. The country needs to give up less of other goods than other countries in order to produce good X.
- B. This country has more resources than other countries for countries for producing good X.
- C. This country uses less resources than other countries for producing the same amount of good X.
- D. This country can produce good X at a lower cost than other goods.

1999/CE/II/48

Suppose the output per man-hour of China, Japan and the US are as follows:

	DVD (units)		VCD (Units)
China	10	OR	30
Japan	20	OR	20
U.S.	30	OR	50

According to the table,

- A. The US has a comparative advantage in producing both goods.
- B. The US has a comparative advantage in producing VCDs only.
- C. China has a comparative advantage in producing DVDs only.
- D. Japan has a comparative advantage in producing DVDs only

2000/CE/II/46

Suppose there are good X and good Y only. If a country has a comparative advantage in good X, it will have

- A. an absolute advantage in Y.
- B. an absolute disadvantage in Y.
- C. a comparative advantage in Y too.
- D. a higher opportunity cost in producing Y.

Answer questions 47 and 48 by referring to the following table. It shows the amount of resources (in man-hours) required to produce 1 unit of good X or 1 unit of good Y in country A and country B, respectively.

	Good X	Good Y
Country A	1	2
Country B	3	4

2000/CE/II/47

With 1 unit of resources, country A can produce either _____ unit(s) of x or _____ unit (s) of Y while country B can produce either _____ unit(s) of X or _____ unit (s) of Y.

- A. 1 1/2 1/3 1/4
- B. 1 2 3 4
- C. 1 1/2 1 3/4
- D. 2 1 3/4 1

2000/CE/II/48

Both countries will gain from trade if 1 unit of X can exchange for

- A. 0.5Y.
- B. 0.6Y.
- C. 0.75Y.
- D. 1Y.

2001/CE/II/42

The production cost of 1 unit of food in country X is 3 units of clothing. When country X trades with country Y, it can obtain 1 unit of clothing import by export 0.2 units of food.

What is country X's total gain from trade if it exports 10 units of food to country Y?

- A. 20 units of clothing
- B. 30 units of clothing minus 10 units of food
- C. 50 units of clothing
- D. 50 units of clothing minus 10 units of food

Questions 43 and 44 refer to the following table which shows the data about country A.

	Good X (Units)		Good Y (Units)
Total output with no international trade	40	and	60
Total output with specialization and international trade	0	and	110
Total consumption with international trade	50	and	80

2001/CE/II/43

After specialization, country A produces _____ units less of good X and _____ units more of good Y. Therefore the opportunity cost of producing 1 unit of good Y is _____ units of good X.

- A. 40 50 4/5
- B. 40 50 5/4
- C. 50 30 3/5
- D. 50 30 5/3

2001/CE/II/44

In trading, country A exports _____ units of good Y and imports _____ units of good X. Therefore the terms of trade is _____.

- A. 20 10 $1Y = 1/2X$
- B. 20 10 $1Y = 2X$
- C. 30 50 $1Y = 3/5X$
- D. 30 50 $1Y = 5/3X$

2002/CE/II/44

Suppose Mrs Wong, a sole proprietor of a garment factory, is the best cook in town, but she leaves all the cooking to her domestic helper at home. Which of the following would be correct?

- A. The domestic helper has a comparative advantage in cooking.
- B. Both Mrs Wong and the domestic helper provide a labour service and receive wages.
- C. Complex division of labour is illustrated in this case.
- D. Both Mrs Wong and the domestic helper are tertiary producers.

2002/CE/II/45

The following table shows the output of X and Y per unit of resources in countries A and B.

	Goods X (units)		Goods Y (units)
Country A	1	OR	3
Country B	2	OR	4

Which of the following is/are the terms of trade under which trade between the two countries is mutually beneficial?

- A. $1X = 2Y$
- B. $1X = 3Y$
- C. $2X = 5Y$
- D. All of the above are correct.

2002/CE/II/47

Consider the trade between two countries X and Y, both of which produce garments and computers only. If country X has the comparative advantage in producing garments, then country X

- A. produces more garments per unit of resources than country Y.
- B. produces better quality garments than country Y.
- C. gives up a smaller amount of computers in order to produce a unit of garments than country Y.
- D. gains more from their trade than country Y.

Answer Questions 45 and 46 by referring to the following table.

Before trade, the actual output of Country A and Country B with all their resources evenly allocated between the production of Good X and Good Y are shown below:

	Good X (Units)		Good Y (Units)
Country A	100	AND	250
Country B	100	AND	50

2003/CE/II/45

Which of the following about the two countries is correct?

- A. Country B has a comparative advantage in producing Good Y.
- B. Country A can produce the same amount of Good Y with fewer resources.
- C. Trade between the two countries would not be mutually beneficial if the transportation cost of trading 1 unit of Good X is 2 units of Good Y.
- D. Country A would have a larger gain than Country B from each unit of Good X traded.

2003/CE/II/46

Suppose each country has to pay a transportation cost of 0.5 units of Good X in trading 1 unit of Good Y. Which one of the following terms of trade is mutually beneficial?

- A. $1Y = 0.5X$
- B. $1Y = 1X$
- C. $1Y = 1.5X$
- D. $1Y = 2X$

2004/CE/II/45

Both countries A and B produce goods X and Y. Under which of the following conditions does country A have a comparative advantage in the production of X?

- A. One unit of X can be exchanged for more units of Y in country A than in country B.
- B. In producing one unit of X, country A forgoes a smaller amount of Y than country B.
- C. The opportunity cost of producing X in country A is smaller than that of Y in country B.
- D. The amount of resources used in producing one unit of X is less in country A than in country B.

Refer to the information below and answer questions 46 and 47.

Both country A and country B produce rice and wine. Suppose country A has **ONE** unit of resources while country B has **TWO** units of resources. Each country allocates half of their resources in the production of each product. The amounts of output in country A and country B are shown below.

	Rice (Units)		Wine (Units)
Country A	6	AND	9
Country B	10	AND	8

2004/CE/II/46

With **ONE** unit of resources,

- (1) country A can produce either 6 units of rice or 9 units of wine.
 - (2) country A can produce either 12 units of rice or 18 units of wine.
 - (3) country B can produce either 5 units of rice or 4 units of wine.
 - (4) country B can produce either 10 units of rice or 8 units of wine.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2004/CE/II/47

Which of the following statements is correct?

- A. According to the principle of comparative advantage, country A will import wine.
- B. According to the principle of comparative advantage, country B will import rice.
- C. Country A has an absolute advantage in the production of wine.
- D. Country B has an absolute advantage in the production of rice.

Answer Questions 45 and 46 with reference to the following table.

The following table shows the number of man-hours required by Country A and Country B in the production of toys and watches.

	1 unit of Toys	1 unit of Watches
Country A	1 man-hour	3 man-hours
Country B	2 man-hours	4 man-hours

2005/CE/II/45

Which of the following descriptions are correct?

- (1) Country A enjoys an absolute advantage in the production of both goods.
 - (2) Country A enjoys an absolute advantage only in the production of toys.
 - (3) Country B enjoys a comparative advantage in the production of toys.
 - (4) Country B enjoys a comparative advantage in the production of watches.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2005/CE/II/46

According to the principle of comparative advantage, when the two countries trade with each other, Country A will export _____ and import _____, and a mutually beneficial terms of trade can be 1 unit of toys equals _____.

- A. toys watches 0.4 units of watches
- B. toys watches 2.5 units of watches
- C. watches toys 0.4 units of watches
- D. watches toys 2.5 units of watches

2006/CE/II/43

Under free trade, a country exports computers and imports cars. Which of the following statements about the country must be correct?

The country

- A. has an absolute advantage in producing cars.
- B. has an absolute advantage in producing computers.
- C. has a comparative disadvantage in producing cars.
- D. requires less resources to produce each unit of computers.

2006/CE/II/44

The output of DVDs and MP3 players per unit of input of Countries A and B are shown below respectively.

	DVD (units)		MP3 Player (units)
Country A	10	OR	30
Country B	8	OR	12

If both countries have 3 units of inputs and complete specialization takes place according to the principle of comparative advantage, the total output of the two countries is _____ units of DVD and _____ units of MP3 player.

- A. 24 36
- B. 24 90
- C. 30 36
- D. 30 90

2006/CE/II/46

If Country X is more productive in producing every good than Country Y, then

- A. the two countries may still trade with each other.
- B. the gain from trade of Country X will be greater than that of Country Y.
- C. Country X will have a lower opportunity cost in producing every good than Country Y.
- D. no trade will take place between the two countries.

2007/CE/II/44

By using one unit of resources, Country A can produce 10 units of good X or 5 units of good Y. We can then conclude that

- A. Country A has a comparative advantage in producing good X.
- B. Country A has a comparative advantage in producing good Y.
- C. Country A may benefit from exporting good X if the international exchange ratio is $1X = 1Y$.
- D. Country A may benefit from exporting good Y if the international exchange ratio is $1X = 1Y$.

2007/CE/II/45

Which of the following statements about international trade is correct if transportation cost increases?

- A. The price of exported goods will increase if the exporting country has to bear the transportation costs.
- B. The net gains from trade of the trading partners will remain unchanged as long as trade continues.
- C. Comparative advantages will disappear if the transportation costs are higher than the total gains from trade.
- D. Mutually beneficial trade is possible only if the transportation costs are lower than the total gains from trade.

2007/CE/II/46

The table below shows the amount of resources required to produce good X and good Y by Country A and Country B respectively.

	<i>1 unit of good X</i>	<i>1 unit of good Y</i>
Country A	20 units	25 units
Country B	10 units	25 units

Which of the following can be a mutually beneficial terms of trade?

- A. $1X = 0.4Y$
- B. $1X = 0.5Y$
- C. $1X = 0.8Y$
- D. $1X = 0.9Y$

2008/CE/II/45

Suppose there are two countries A and B. The following table shows the output per unit of resources in these two countries in a certain year:

	Goods X (units)		Goods Y (units)
Country A	2	OR	4
Country B	3	OR	1

According to the above table, Country A has a comparative advantage in producing Good _____ because _____.

- A. Y with the same amount of resources, Country A can produce more Y than Country B
- B. Y Country A has a lower opportunity cost in producing 1 unit of Y than in producing 1 unit of X
- C. Y Country A's opportunity cost of producing 1 unit of Y is lower than that of Country B
- D. X Country A's opportunity cost of producing 1 unit of X is lower than that of Country B

2009/CE/II/46

The following table shows the amount of garments and shoes that country A and country B can produce with **ALL** of their resources.

	Garments (units)		Shoes (units)
Country A	10	OR	30
Country B	10	OR	20

Which of the following statements are correct?

- (1) Country A has an absolute advantage in producing shoes.
 - (2) According to the principle of comparative advantage, country A will export shoes.
 - (3) Country B would gain from exporting garments if 1 unit of garments can be exchanged for more than 2 units of shoes.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Answer questions 45 and 46 by referring to the following table. It shows the amount of toys and garments produced per unit of input of Country A and Country B.

	Garments (units)		Toys (units)
Country A	10	OR	40
Country B	5	OR	10

2010/CE/II/45

Which one of the following statements is correct ?

- A. Country A gives up a smaller amount of garments than Country B in producing one unit of toys.
- B. The opportunity cost of producing garments in Country A is lower than that of Country B.
- C. Country A uses a larger amount of resources than Country B in producing one unit of garments.
- D. The total output of toys in Country A is higher than that of Country B.

2010/CE/II/46

When trade opens up between the two countries, 1 unit of toys can be exchanged for 0.4 units of garments. According to the principle of comparative advantage,

- A. Country A's gain from trade per unit of export is 0.15 units of garments.
- B. Country B's gain from trade per unit of export is 0.1 units of garments.
- C. Country A's gain from trade per unit of import is 2 units of toys.
- D. Country B's gain from trade per unit of import is 2 units of toys.

2010/CE/II/47

The table below shows the amount of labour input required to produce watches and oranges by Country X and Country Y respectively.

	Watches (units)	Oranges (units)
Country X	2 man-hours	2 man-hours
Country Y	4 man-hours	8 man-hours

Based on the above information, has an absolute advantage and has a comparative advantage in producing watches.

- A. Country X Country X
- B. Country X Country Y
- C. Country Y Country X
- D. Country Y Country Y

2012/DSE/I/37

The following table shows the number of toys or clothes that Country A and Country B can produce with one unit of resources.

	Toys (units)	Clothes (units)
Country A	10	10
Country B	4	10

If the terms of trade is 2 units of clothes = 1 unit of toys,

- A. Country A will gain 5 units of toys per unit of imports.
- B. Country A will gain 0.6 units of clothes per unit of exports.
- C. Country B will gain 0.5 units of clothes per unit of imports.
- D. Country B will export toys and gain 0.6 units of clothes per unit of exports.

2012/DSE/I/38

Consider the trade of a good between two countries. Suppose we know their opportunity costs of producing the good. Without knowing the terms of trade, we can determine

- (1) the possible range of the terms of trade.
 - (2) the gain of each country from trading one unit of the good.
 - (3) the total gain of both countries from trading one unit of the good.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

Answer Questions 38 and 39 by referring to the following information.

Before trade, the output of Thailand and Japan with all their resources evenly allocated between the production of rice and computers is shown below:

	Rice (units)		Computers (units)
Thailand	15	AND	5
Japan	24	AND	12

2013/DSE/I/38

Which of the following statements about the above case is correct?

- (1) Japan has a comparative advantage in producing computers.
 - (2) Japan has an absolute advantage in producing computers.
 - (3) With complete specialization in the two countries, the total output of both rice and computers will increase.
- A. (1) only
 B. (1) and (2) only
 C. (2) and (3) only
 D. (1), (2) and (3)

2013/DSE/I/39

Suppose the terms of trade is 1 unit of computers = 2.4 units of rice and the computer-exporting country has to pay a transportation cost of 0.1 units of rice for each unit of export. To export 5 units of computers, the net gain of the country is _____ units of rice.

- A. 1.5
 B. 2
 C. 2.5
 D. 3

2014/DSE/I/41

The following table shows the number of man-hours required by Country A and Country B in the production of Good X and Good Y.

	1 unit of Good X	1 unit of Good Y
Country A	10 units	25 units
Country B	5 units	15 units

Trade is mutually beneficial between Country A and Country B when the terms of trade is _____.

- A. $1X = 0.35Y$
 B. $1X = 0.4Y$
 C. $1X = 1.25Y$
 D. $1X = 2.75Y$

2014/DSE/I/44

The following table shows the data about Country A.

	Petroleum (unit)		Rubber (unit)
Total output with no international trade	60	and	90
Total output with specialization and international trade	0	and	210
Total consumption with international trade	90	and	120

Which of the following statements about Country A is correct?

- Country A has both absolute advantage and comparative advantage in producing rubber.
- The gain from trade of exporting 1 unit of rubber is 1 unit of petroleum.
- The opportunity cost of producing 1 unit of rubber (R) is $\frac{2}{3}$ units of petroleum (P) and the terms of trade is $1R = \frac{3}{4}P$.
- Country A can benefit from trading with Country B, whose opportunity cost of producing 1 unit of rubber is 2 units of petroleum.

2015/DSE/I/40

Assume the labour input requirements for the production of computers and toys in Japan and Hong Kong are as follows:

	1 unit of computers	1 unit of toys
Japan	2 man-hours	6 man-hours
Hong Kong	4 man-hours	8 man-hours

Suppose there is no transportation cost. Which of the following can be the terms of trade so that trade is mutually beneficial to Japan and Hong Kong?

- 1 unit of computers exchanges for 0.4 units of toys
- 1 unit of computers exchanges for 0.5 units of toys
- 1 unit of computers exchanges for 1 unit of toys
- 1 unit of computers exchanges for 2.5 units of toys

2015/DSE/I/41

A country has an absolute advantage in producing good X. Which of the following statements about the country is correct?

- The country can produce a greater amount of good X than another good with the same amount of resources.
- The country has a comparative advantage in producing good X.
- The country has an absolute disadvantage in producing another good.
- The country may import good X from the international market.

2016/DSE/I/41

The following table shows the amount of toys or cars that Country A and Country B can produce with the same amount of resources.

	Toys		Cars
Country A	50	or	80
Country B	20	or	60

The transportation cost for 1 unit of toy is 0.4 units of car and it is borne by the importing country. Which of the following is the mutually beneficial terms of trade between Country A and Country B?

- 1 unit of toy = 1.6 units of car
- 1 unit of toy = 2 units of car
- 1 unit of toy = 2.6 units of car
- 1 unit of toy = 3 units of car

2017/DSE/I/43

The following table shows the number of man-hours required by Country A and Country B in the production of toys and watches.

	1 unit of toys	1 unit of watches
Country A	4	8
Country B	5	20

Suppose the transportation cost for 1 unit of toys is 0.1 units of watches and it is borne by the exporting country. Which of the following would be a mutually beneficial terms of trade between Country A and Country B?

- A. 1 unit of toys = 0.3 units of watches
- B. 1 unit of toys = 0.4 units of watches
- C. 1 unit of toys = 2.5 units of watches
- D. 1 unit of toys = 6 units of watches

2018/DSE/I/43

The following table shows the output per unit of resources in Countries A and B:

	Computer (units)		Rice (units)
Country A	16	OR	16
Country B	12	OR	3

Suppose the computer-producing country exports 10 units of computer in exchange for 5 units of rice. What is the total gain from trade for computer-importing country?

- A. 0.5 units of computer
- B. 1 unit of computer
- C. 2.5 units of computer
- D. 5 units of computer

1992/AL/II/17

Refer to the following table which shows the costs of production of two goods in two countries:

	<i>TV Sets</i>	<i>Cars</i>
Japan	¥80	¥160
USA	\$10	\$30

Which of the following are true?

- (1) Japan has a comparative advantage in the production of cars.
- (2) A terms of trade ratio of 1 Car = 2.5 TV sets would make the trade between the two countries mutually beneficial.
- (3) U.S.A. has an absolute advantage in the production of TV sets.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1996/AL/II/25

The unit cost of producing cars and computers in the U.K. and Country A are given below:

	<i>Cars</i>	<i>Computers</i>
U.K.	£280	£70
Country A	\$450	\$150

Which of the following statement(s) is/are correct?

- (1) Country A has a comparative advantage in producing cars.
- (2) U.K. has an absolute advantage in producing both goods.
- (3) U.K. has a comparative disadvantage in producing cars and an absolute advantage in producing computers.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1997/AL/II/15

The unit cost of production of garments and Discmans in Hong Kong and Japan are as follows:

	<i>Garments</i>	<i>Discmans</i>
Hong Kong	\$200	\$2 000
Japan	¥10 000	¥50 000

Which of the following are true?

- (1) Hong Kong has a comparative advantage in producing garments.
- (2) If the terms of trade are that 1 unit of Discmans can be exchanged for 7 units of garments, then trade is mutually beneficial to both economies.
- (3) If the terms of trade are that 1 unit of Discmans can be exchanged for 9 units of garments, then the gain to Japan from exporting 1 unit of Discmans is 4 units garments.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/42

The following table shows the amount of goods that can be produced with 1 unit of resources in Country A and Country B respectively.

	Good X (units)		Good Y (units)
Country A	8	or	12
Country B	2	or	4

Suppose the transportation cost for 1 unit of Good X is 0.2 units of Good Y and it is borne by the exporting country. Which of the following is a mutually beneficial terms of trade between Country A and Country B?

- A. 1 unit of Good X = 1.3 units of Good Y
- B. 1 unit of Good X = 1.7 units of Good Y
- C. 1 unit of Good X = 1.8 units of Good Y
- D. 1 unit of Good X = 2.0 units of Good Y

2020/DSE/I/42

The following table shows the amounts of consumption on two goods in Country A and Country B before international trade. Assume both countries use one unit of resources on producing Good X and one unit of resources on producing Good Y.

	Consumption before trade (units)		
	Good X		Good Y
Country A	100	and	25
Country B	80	and	40

If Country A and Country B completely specialise their production and trade with each other, the total output of both countries will increase by ____ units of Good X and ____ units of Good Y.

- A. 15.....15
- B. 15.....20
- C. 20.....15
- D. 20.....20

2021/DSE/I/43

Both Country A and Country B produce only toys and computers. The table below shows the amount of inputs required by Country A and Country B in the production of toys and computers.

	1 unit of toys	1 unit of computers
Country A	2	5
Country B	2	2

Based on the above information, which of the following statements is correct?

- A. Country A has an absolute advantage in the production of computers over Country B.
- B. Country B has no comparative advantage in producing any goods as its opportunity cost of producing toys equals that of producing computers.
- C. If a transportation cost of 1 unit of computers is required to trade 1 unit of toys, it is impossible to have mutually beneficial trade.
- D. It is impossible to have mutually beneficial trade as the two countries have equal productivity in producing toys.

2022/DSE/I/43

The following table shows the production and consumption data in Country A, which only produces and consumes clothing (C) and food (F).

	Clothing (units)	Food (units)
Total production WITHOUT trade	10	60
Total production with specialisation	60	0
Total consumption with trade	20	120

The terms of trade is _____.

- A. 1C = 2F
- B. 1C = 3F
- C. 1C = 5F
- D. 1C = 6F

2023/DSE/I/42

The following table shows the amount of apples or peaches that Country A and Country B can produce with one unit of resources.

	Apples (units)		Peaches (units)
Country A	100	Or	80
Country B	180	Or	90

According to the above table, which of the following statements are correct?

- (1) The opportunity cost of producing 1 unit of apples is 0.8 units of peaches in Country A.
 - (2) Country B has an absolute advantage in producing apples.
 - (3) A mutually beneficial terms of trade can be 1 unit of apples = 0.7 units of peaches.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2024/DSE/I/42

The following table shows the outputs of books and smartphones of Country Y.

	Books (units)		Smartphones (units)
Outputs before specialisation and trade	60	AND	60
Outputs after specialisation	0	AND	180

Suppose for each unit of smartphones traded, the gain to Country Y is 0.2 units of books. The terms of trade for 1 unit of smartphones is _____ units of books.

- A. 0.3
- B. 0.7
- C. 1.2
- D. 2.2

2024/DSE/I/44

Refer to the following balance of payments data of an economy.

Year	Balance on goods (\$ million)	Balance on services (\$ million)
2020	-41 135	92 948
2021	24 671	135 042

Based on the above data, we can conclude that _____.

- A. the total value of exports of goods in 2021 was larger than that in 2020
- B. there was a current account surplus in 2020
- C. there was a balance of payments surplus in 2021
- D. the value of exports of services was larger than the value of imports of services in both 2020 and 2021

2025/DSE/I/15

Which of the following will lower Hong Kong households' price elasticity of demand for foreign domestic helpers?

- A. More Hong Kong people are trained to work as part-time domestic helpers.
- B. Fewer child care centres are provided in Hong Kong for parents who both work.
- C. The Hong Kong Government reduces the quota of foreign domestic helpers.
- D. The wage rate of foreign domestic helpers in Hong Kong increases.

2025/DSE/I/42

Suppose Country X and Country Y both allocate half of their resources in producing clothing and half in producing toys. Their total output is shown below.

	Clothing (units)	Toys (units)
Country X	5	25
Country Y	20	10

Based on the above information, which of the following is/are correct?

- (1) Country Y enjoys an absolute advantage in producing clothing.
 - (2) Country Y enjoys a comparative advantage in producing clothing.
 - (3) If the transportation cost for importing each unit of clothing is 4 units of toys, mutually beneficial trade is still possible between the two countries.
- A. (1) only
 - B. (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

Short & Structured Questions

1991/CE/1/3/(c)

Suppose there are only two countries and two commodities in the world. Every year each has 20 units of resources. Each uses 10 units of resources per year to produce each commodity. The annual output per unit of resources is shown below:

	Food (units)		Clothing (units)
Country A	6	OR	12
Country B	5	OR	20

- Which country has a comparative advantage in producing food? Explain your answer. (7 marks)
- Calculate the increase in the total output per year of each commodity after complete specialization, bases on the principle of comparative advantage. (4 marks)
- What piece of information is needed to determine the distribution of the increase in outputs between these two countries? (2 marks)

1992/CE/1/2/(a)

The following table shows the output per unit of resources in two countries in a certain year.

	Clothing (units)		Rice (units)
Country A	1	OR	2
Country B	3	OR	4

- According to the principle of comparative advantage, which product should Country A specialize in? Explain your answer in terms of opportunity cost. (6 marks)
- Explain how trade is beneficial to Country A if 10 units of clothing are exchanged for 18 units of rice. (4 marks)
- Suppose the productivity in Country A has increased. With one unit of resources, Country A can now produce 2 units of clothing or 4 units of rice. Will your answer in (a)(i) change? Explain. (4 marks)

1993/CE/1/2/(a)

Suppose the annual output per unit of resources in the U.S.A. and China are as follows:

	Clothing(Units)		Toys(Units)
U.S.A.	2	OR	4
China	1	OR	2

- In the U.S.A., what is the opportunity cost of producing one unit of clothing? One unit of toys? (2 marks)
Based on the above answers only, explain whether you can say that the U.S.A. has a comparative advantage over China in toy manufacturing. (3 marks)
- State the principle of comparative advantage. According to this principle, explain whether specialization and trade can benefit the above two countries. (6 marks)
- Suppose with one unit of resources, China can now produce 2 units of clothing or 3 units of toys. Explain whether specialization and trade can benefit the above two countries. (5 marks)

1994/CE/I/9/(c)

Suppose the production of cars and apples in Japan and in the U.S.A. is as follows:

	One Unit of Resources Can Produce	
	Cars (Units)	Apples (Units)
Japan	2	5
U.S.A.	1	4

Suppose there are no trade barriers between the two countries. When trade opens up, 3 units of apples are traded for 1 unit of cars. Find the comparative advantage of **EACH** country and calculate the gain of **EACH** country from one unit of exports. Explain your answer. (9 marks)

1995/CE/I/8

The following table shows the production of goods X and Y per unit of resources in Countries A and B:

Country	Good X (units)		Good Y (units)
A	1	OR	4
B	2	OR	3

- According to an economic principle, both countries would gain from specialization and trade. Name and state this principle. (4 marks)
- Calculate the range of the exchange ratio between goods X and Y for both countries to gain from trade. (4 marks)

1996/CE/I/10(a)

The table below shows the output per unit of resources of two countries in a certain year.

	Clothing (units)		Rice (units)
Country A	2	OR	6
Country B	6	OR	9

- Explain which country would have a comparative advantage in producing clothing. Show your calculation. (3 marks)
- Suppose 1 unit of clothing can be exchanged for 2 units of rice between the two countries. Calculate and explain how much Country A would gain from trade if
 - no other costs are involved in trade. (3 marks)
 - Country A has to pay a transportation cost of 1 unit of rice per unit of import. (3 marks)

1997/CE/I/10(a)

With one unit of resources, the output of food and clothing in Country A and Country B is as follows:

	Food (units)		Clothing (units)
Country A	4	OR	8
Country B	3	OR	6

- Explain whether there are mutually beneficial terms of trade between these two countries. (3 marks)
- Suppose only Country A benefits from technological advancement and it can now produce 5 units of food or 20 units of clothing with one unit of resources.
 - Explain which country has a comparative advantage in producing food. (3 marks)
 - If the exchange ratio between the two countries is 1 unit of food for 3 units of clothing, calculate the gain of Country B per unit of export. (3 marks)

1998/CE/I/10(a)

Suppose the output per unit of resources of three economies – Hong Kong, Mainland China and Taiwan – are as follows:

	Toy (units)	Computer (units)
Hong Kong	40	OR 4
Mainland China	50	OR 2
Taiwan	50	OR 10

- Calculate the opportunity cost of producing computers for each economy and point out which economy has a comparative advantage in producing computers. (4 marks)
- Explain whether Hong Kong and Mainland China would gain from trade if 10 units of toy could be exchanged for 1 unit of computer. (6 marks)

1999/CE/I/9(a)

Suppose the output of red wine and cars in France and Japan per unit of resources are as follows:

	Red wine (units)	Cars (units)
France	4	OR 2
Japan	1	OR 2

Suppose France and Japan trade at an exchange ratio of 3 units of red wine to 2 units of cars. Calculate the gain per unit of import for France. (6 marks)

2000/CE/I/11(a)

The following table shows the actual output of Country A and Country B. Each country employs 40% of resources to produce wine and the other 60% to produce clothing.

	Wine (units)	Clothing (units)
Country A	1 200	900
Country B	400	2 400

- Calculate the opportunity cost of producing one unit of wine for **EACH** country and hence explain which country will export wine if they trade with each other. (6 marks)
- What is the minimum transportation cost per unit of wine (expressed in terms of clothing) which will result in both countries **NOT** gaining from trade? Explain your answer. (4 marks)

2001/CE/I/9(a)

Suppose the output of garments and computers per unit of resources of the two economies, Hong Kong and the USA, are as follows:

	Garments (units)	Computers (units)
Hong Kong	4	OR 2
USA	4	OR 5

- Calculate the opportunity cost of producing one unit of garments for **EACH** economy. Explain which economy would export garments. (4 marks)
- Suppose the exporting economy has to pay a transportation cost of 0.5 units of computers to export 1 unit of garments. Find the possible range of terms of trade (for 1 unit of garments) that is mutually beneficial for both economies. (3 marks)

2002/CE/1/9

The following table shows the maximum amount of toys and computers that Country A and Country B can produce in a year with **ALL** of their resources respectively.

	Toys (Units)		Computers (Units)
Country A	15	OR	5
Country B	10	OR	5

Explain whether we can conclude from the above table that Country A has

- (a) an absolute advantage
- (b) a comparative advantage

in producing toys.

(7 marks)

2003/CE/1/10(c)

Suppose the output of paper and cars per unit of resources of Country A and Country B are as follows:

	Paper (units)		Cars (units)
Country A	10	OR	10
Country B	15	OR	30

- (i) Explain which country has a comparative advantage in the production of paper. Calculate the total gain to the two countries from trading one unit of paper. (5 marks)
- (ii) Suppose a newly developed Country, X, now offers paper for sale with an exchange ratio of 1 unit of paper to 0.5 units of cars. Explain whether Country B would import paper from Country A. (3 marks)

2004/CE/1/11(a)

Suppose the amount of resources of Economy A is double that of Hong Kong and both economies use **ALL** their resources in production. Their maximum output in a year is shown below.

	Clothing (units)		Cars (units)
Economy A	20	OR	10
Hong Kong	12	OR	3

- (i) Explain whether Economy A has an absolute advantage in producing clothing. (3 marks)
- (ii) Explain in which product Economy A has a comparative advantage. Calculate the gain per unit of export for Economy A if the two economies trade at an exchange ratio of 5 units of clothing to 2 units of cars. (6 marks)

2005/CE/1/10

With the same amount of resources, the output of watches and television sets in Country A and Country B are as follows:

Country	Watches (Units)	TV sets (Units)
A	10	OR 5
B	20	OR 15

- (a) (i) Explain which country enjoys the absolute advantage in the production of television sets. (2 marks)
- (ii) The two countries have a different output of watches, with each country using the same amount of resources in their production. State **THREE** possible reasons for such a difference. (3 marks)
- (b) (i) State the principle of comparative advantage. According to this principle, explain which country would export watches. (5 marks)
- (ii) (I) Point out the range of terms of trade (for 1 unit of watches) that is mutually beneficial for both countries. (2 marks)
- (II) Explain why a terms of trade outside the above range would not be mutually beneficial for both countries. (4 marks)

2006/CE/1/8

Suppose the output of clothing and computers per unit of resources of Country A and Country B are as follows :

	Clothing (units)	Computers (units)
Country A	100	OR 200
Country B	150	OR 450

- (a) Explain which country enjoys a comparative advantage in the production of clothing. (3 marks)
- (b) Suppose 1 unit of clothing is traded for 2.5 units of computers between the two countries. Calculate Country A's gain from trade per unit of export. (2 marks)

2007/CE/1/10(b)

Assume the output of vegetables and jewels of one unit of resources in two cities are as follows respectively:

	Vegetables (unit)	Jewels (unit)
Hong Kong	5	OR 1
Shenzhen	12	OR 1

- (i) Suppose the terms of trade between the two cities is 1 unit of jewels = 10 units of vegetables. Calculate the gain for Hong Kong per unit of her exports. (3 marks)
- (ii) Suppose 1 unit of resources in Shenzhen can only grow 9 units of vegetables due to flooding after the typhoon. What is the range of the new terms of trade that is mutually beneficial to both cities? (3 marks)

2008/CE/I/7

The amount of resources of Country A is half that of Country B. Both countries use **ALL** their resources in production. Their maximum output in a year is shown below.

	Food (units)		Machines (units)
Country A	20	OR	50
Country B	40	OR	60

Explain, respectively, whether Country B has an/a

- (a) absolute advantage
- (b) comparative advantage

in producing food.

(7 marks)

2009/CE/I/10(b)

Suppose the following table show the outputs of mainland China and Taiwan per unit of resources.

	Computers (units)		Toys (units)
Mainland China	50	OR	90
Taiwan	200	OR	250

- (i) Explain which economy would have a comparative advantage in producing computers. (4 marks)
- (ii) Suppose 1 unit of computers can be exchanged for 1.5 units of toys when trade opens up between the two economies.

If the computer exporting economy has to pay a transportation cost of 0.2 units of toys for each unit of export, calculate and explain how much it would gain from exporting 1 unit of computers. (3 marks)

2010/CE/I/10(b)

Suppose the following table shows the outputs of Hong Kong and Japan per unit of resources.

	Medicine (units)		Watches (units)
Hong Kong	40	OR	100
Japan	20	OR	40

- (i) State the principle of comparative advantage. (2 marks)
- (ii) According to the principle of comparative advantage, find the range of terms of trade (for 1 unit of medicine) that is mutually beneficial for both economies. (4 marks)

2012/DSE/II/9

Country A requires 2 working-hours to produce a unit of shirts while Country B requires 1 working-hour. On the other hand, Country A requires 10 working-hours to produce a unit of watches while Country B requires 4 working-hours.

Suppose labour is the only resource required for the production of shirts and watches.

- (a) Calculate the opportunity costs of producing 1 unit of shirts (in terms of watches) for Country A and Country B. (2 marks)
- (b) State the principle of comparative advantage. According to this principle, explain which country would export shirts. (3 marks)
- (c) Find the range of terms of trade over which exchange between both countries is mutually beneficial. (2 marks)

2013/DSE/II/5

Each unit of resources can be used to produce the following amount of goods in Country A and Country B:

	Food (units)	Smartphones (units)
Country A	30	OR 40
Country B	40	OR 80

- (a) Explain which country has a comparative advantage in the production of smartphones. (3 marks)
- (b) Suppose the transportation cost per unit of smartphones traded is 0.2 units of food. Is it possible to have mutually beneficial trade between these two countries? Explain. (3 marks)

2014/DSE/II/8

Suppose the output of paper and watches per unit of resources of Country A and Country B are as follows:

	Paper (unit)	Watches (unit)
Country A	12	OR 3
Country B	8	OR 4

- (a) Which good would Country B export according to its comparative advantage? Explain. (3 marks)
- (b) Suppose Country A and Country B trade at an exchange ratio of 2 units of watches to 5 units of paper. Calculate the gain per unit of import for Country A. (3 marks)

2015/DSE/II/7

Suppose both Country A and Country B use **ALL** their resources in production. Their maximum output is shown in the table below.

	Rice (units)	Clothing (units)
Country A	15	OR 3
Country B	8	OR 4

- (a) Explain whether Country B has an absolute advantage in producing clothing. (2 marks)
- (b) The rice-exporting country exports 12 units of rice in exchange for 3 units of clothing. Calculate the total gain from trade for the clothing-exporting country. Show your workings. (4 marks)

2016/DSE/II/7

The input requirements in the production of one unit of clothing and one unit of toys are 6 units and 2 units respectively in Country A. Country A and Country B trade at an exchange ratio of 2 units of clothing to 11 units of toys.

- (a) Which good would Country A export? Explain. (3 marks)
- (b) Suppose a transportation cost of 2 units of toys is required to exchange for 1 unit of clothing and the cost is borne by Country A. Calculate the gain per unit of export for Country A. (3 marks)

2017/DSE/II/7

Country A and Country B both allocate half of their resources in producing food and half in producing computers. Their total output is shown below.

	Food (units)	Computer (units)
Country A	100	50
Country B	100	100

(a) Explain whether Country B

- (i) enjoys an absolute advantage in producing computers.
- (ii) will export computers.

(5 marks)

(b) Suppose the exchange ratio is 4 units of computer for 7 units of food. Calculate the gain from trade for the computer-exporting country when it exports 16 units of computer. Show your working. (3 marks)

2018/DSE/II/8

Suppose the labour requirement for the production of toys and clothing in China and Japan is as follows:

	1 unit of toys	1 unit of clothing
China	10 man-hours	2 man-hours
Japan	8 man-hours	4 man-hours

(a) Calculate the opportunity costs of producing one unit of toys for China and Japan respectively. (2 marks)

(b) State the principle of comparative advantage. According to this principle, explain which country would export toys. (3 marks)

(c) Suppose the transportation cost per unit of toys traded is 0.1 units of clothing and has to be shared equally by both countries. Find the range of terms of trade over which exchange between both countries is mutually beneficial. (2 marks)

2019/DSE/II/8

The amount of resources in Country A is twice of that in Country B. Both countries allocate half of their resources to produce cars and the other half to produce toys. The following are the total outputs of both countries:

	Cars (units)	Toys (units)
Country A	100	100
Country B	100	60

(a) Explain whether Country B has

- (i) an absolute advantage in producing cars.
- (ii) a comparative advantage in producing cars.

(5 marks)

(b) Suppose the exchange ratio is 5 units of cars for 4 units of toys. Calculate the gain from trade for the car-importing country when it imports 10 units of cars. Show your workings. (3 marks)

2020/DSE/II/7

Suppose the outputs per unit of resources of Country A and Country B are as follows:

	Toys (units)		Cars (units)
Country A	10	OR	10
Country B	20	OR	10

- (a) Which good would Country B export according to its comparative advantage? Explain. (3 marks)
- (b) Suppose Country A and Country B trade at an exchange ratio of 5 units of toys to 4 units of cars. A transportation cost of 0,2 units of cars is required to exchange for 1 unit of toys and the cost is equally shared by both countries. Calculate the gain per unit of export of Country B. Show your workings. (3 marks)

2021/DSE/II/8

Suppose the outputs per unit of resources of Country A and Country B are as follows.

	Rice (units)		Wheat (units)
Country A	10	OR	4
Country B	6	OR	3

Find the range of terms of trade over which exchange between these two countries is mutually beneficial. Show your workings. (3 marks)

2022/DSE/II/7

In a two-country-two-good model, the outputs per unit of resources of both countries are as follows.

	Rice (units)		Toys (units)
Country E	10	OR	20
Country F	5	OR	15

- (a) Assume the terms of trade are that 1 unit of rice can be exchanged for 2.2 units of toys. Calculate the gains from trade of **EACH** country when trading 1 unit of rice. Show your workings. (4 marks)
- (b) With reference to your answer in part (a), defend the following statement. 'There is still a basis for trade even if a country has no absolute advantage in producing any goods.' (2 marks)

2023/DSE/II/8a, b

The amount of resources in Country A is twice of that in Country B. Suppose both Country A and Country B use **ALL** their resources in production. Their maximum output is shown in the table below.

	Computers (units)		Rice (units)
Country A	800	Or	500
Country B	400	Or	300

- (a) Explain whether Country A has
- an absolute advantage in producing computers.
 - a comparative advantage in producing computers. (5 marks)
- (b) Suppose the computer-importing country has to pay a transportation cost of 0.05 units of rice for each unit of computers imported. Find the range of terms of trade (for 1 unit of computers) that is mutually beneficial for both countries. (2 marks)

2024/DSE/II/9

The table below shows the total output of Country X and Country Y. Each country allocates 25% of its resources to produce bread and 75% of its resources to produce clothing.

	Bread (units)		Clothing (units)	
Country X	100	AND	75	
Country Y	80	AND	240	

- (a) Explain whether Country X has an absolute advantage in the production of bread. (2 marks)
- (b) Suppose Country X and Country Y trade at an exchange ratio of 10 units of bread to 7 units of clothing. Calculate the gain from trade for the bread-exporting country from exporting 30 units of bread. Show your workings. (4 marks)

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